costs—such as damage to property from flooding or fire—but also the costs associated with broader effects, such as a decline in biodiversity, habitat destruction, shifts in growing seasons, and enforced human migration.

Counting the cost

The social cost of carbon (SCC) is a monetary estimate of the damage to human society caused by every additional tonne of carbon dioxide released into the atmosphere. These damages include reductions in agricultural productivity, harm to infrastructure, energy costs, and impacts on human health. The SCC provides a starting point for energy policy. For example, if the SCC is factored into proposals for a new power plant, the cost of building it becomes much higher. This may also make the cost of alternative forms of energy—such as solar or wind power—more financially viable. However, it is extremely difficult to calculate the SCC.